

Government Policies and Street-Lighting Boost Demand for LED Lighting

The Indian market for LED lighting has demonstrated a steady growth in last couple of years. Street-lighting, and industrial and commercial applications are propelling the market in India today. Government's support to green technologies, too, has encouraged the adoption of LED lighting in India. In this report, we look at the LED industry in depth

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India is a country where a major chunk of population is still not connected to the power grid. In order to supply power to them, India will need to create either newer sources of power or reduce the power demand by implementing energy-efficient devices at all levels. "It has been estimated that, in India, lighting systems consume 18 per cent of total power consumption, which is considered high when compared to other countries, where lighting consumption is approximately 12 to 14 per cent," informs Pankaj Raushan, senior research analyst, MarketsandMarkets. Due to this, light emitting diode (LED) has emerged as an important energy-efficient device, especially for lighting systems.

LED lighting industry growing at CAGR of 40 to 50 per cent

For financial year 2013-14, the lighting market was estimated by the industry to be around ₹ 20 billion, informs Puneet Dhawan, senior vice president and head of lighting business, Orient Electric. He says, "The percentage contribution from LED industry to the total lighting industry is hardly 14 to 15 per cent." He adds, "For the past two years, LED industry has been growing at a compound annual growth rate (CAGR) of 45 to 50 per cent and will continue to grow at that rate for the next three to four years. The prediction is that, four years from now, contribution from LED industry will



LED commercial lighting

be more than 50 per cent to the total lighting industry."

On a similar note, Raushan says, "LED lighting market in India is estimated to cross US\$ 3 billion by 2020, growing approximately at a CAGR of 40 per cent. This will help LED lighting market to account approximately 55 to 60 per cent of the total lighting market in India by 2020."

Energy conservation, decreasing cost and commercial applications driving demand

The shift toward renewable energy, demand for energy-efficient products and LED luminaries has increased. Several technology features of LED, like long lifespan, energy-saving capacity [which is more than 50 per cent as compared to compact fluorescent lamp (CFL)] and



LED street-lighting